

After you compute the height, divide it by the current price and compare it to the results in [Table 24.3](#). In the above example, the height is 5.77, and let's assume the breakout price is the current price, 41.85, for a potential rise of 14%. How likely is that?

[Table 24.3](#) says that in bull markets, almost half (46%) of patterns will fail to rise more than 15% (which is closest to the potential rise of 14%). That also means 54% will exceed a 15% rise. So the probabilities could be a lot stronger for this trade.

However, there is an alternative method that sometimes yields more accurate results. The method involves looking at the price chart and seeing if there is something to reverse. By this I mean diamonds sometimes form after a quick run-up (or down) in price. The reversal could erase the gains and return price to where they were before the run-up. [Figure 24.1](#) shows an example of where it worked (price at B returned to the price of A).

Wait for breakout. When trading technical patterns like diamond tops, it is always safest to wait for the breakout. If you do not wait for the breakout, you may face a situation similar to that shown in [Figure 24.4](#). Instead of price retracing the quick rise from the January low, price resumed trending higher. A trader shorting the stock before the breakout would likely take a loss.

Risk/reward. Before placing a trade, consider the risk/reward ratio. In essence, you first identify the support and resistance levels and calculate the difference between those levels and the current price. Trades that result in risk/reward ratios of one to two or higher are worth making. With smaller ratios, the risk may be too high to warrant a trade.

I'll confess that I'm holding my nose as I'm typing this (which isn't easy, by the way). In my trading, I don't care about the risk/reward ratio. Why? Because I let profits run, easily beating a lousy risk/reward ratio in a trade others might discard.

Busted pattern. Consult [Table 24.9](#) for guidance on trading busted patterns. Downward breakouts provide the best performance advantage. After the stock busts a downward breakout, and closes above the top of the diamond, buy.